SYLLABUS · IES ABROAD LONDON · SPRING 2027

FI 355 International Finance

Course number	FI 355
Programme	IES Abroad London (Study London and associated London programmes)
Term	Spring 2027: 18 January to 23 April 2027 (14 weeks including the mid-semester break and the final examination)
Credits	3 US semester credits
Contact hours	45, including the course-related trip and the examinations
Language of instruction	English
Prerequisites	None. A first course in economics or finance is helpful; weeks 1 and 2 build the shared foundations for students who have not taken one.
Course site	Moodle (readings, warm-ups, problem sets, gradebook) and the open course site with the interactive simulations

Course description

Every student on this course arrived in London through a foreign exchange transaction. The dollars that paid for the flat, the Oyster card and the first coffee were sold for pounds at a price set in a market that turns over $9.6 trillion a day, more than a third of it in this city (BIS, 2025). International finance is the study of that market and of everything that depends on it: how countries settle their accounts with one another, how exchange rates are determined and forecast, how firms and investors manage the risk of a currency moving against them, and how multinational companies raise capital, invest and pay tax across borders.

The course follows the IES Abroad specification for FI 355 and covers the international monetary system and the balance of payments; the foreign exchange market and the parity conditions that tie exchange rates to prices and interest rates; currency derivatives and the management of transaction, economic and translation exposure; international banking, bond and equity markets and international portfolio investment; and the financial management of the multinational firm, from foreign direct investment and the cost of capital to cash management, trade finance and taxation. It closes with the questions that are moving the subject now: digital money, sanctions and the dollar, and climate risk.

Three commitments shape how it is taught. First, every concept lands on something students are living: the pound in their pocket, the City on their doorstep, the headline that morning. Second, every session is interactive in a specific sense: the student changes something (an exchange rate, a hedge, a correlation) and sees the consequence, in simulations that run in any browser without a login. Third, every number on a slide comes from a named source that students can open themselves. The result is a course that connects theory to real-world events because it is built from them, and that leaves students able to compute, hedge and argue a currency view rather than recite one.

Learning outcomes

By the end of the course, students will be able to:

1. **Explain** how the international monetary system and the balance of payments shape exchange rates, and interpret current economic and political events in those terms.

2. **Read and compute** foreign exchange quotations (spot, forward, cross rates, bid and ask) and **apply** the parity conditions (purchasing power parity, interest rate parity, the Fisher effects) to real market data.
3. **Measure** a firm's transaction, economic and translation exposure and **design** a hedge using forwards, money market instruments or options, stating its cost and its limits.
4. **Describe** the structure of international banking, bond and equity markets and **evaluate** the gains and risks of international portfolio diversification, including the currency component of returns.
5. **Appraise** a cross-border investment: foreign direct investment, the cost of capital and capital budgeting in two currencies, with country risk, cash management, trade finance and tax taken into account.
6. **Test** a theory of international finance against a real event using data, and **communicate** the analysis in a written report and an oral briefing to a non-specialist audience.

Method of presentation

The course runs in a seminar format built around three moves in every session. A **concept** is developed in about twenty minutes, worked on the board with one real number. An **interaction** follows: a browser simulation, a guess or poll, or a short case worked in pairs, in which the student changes something and the picture answers. A **discussion** closes the session: the week's "FX in the news" briefing by a student and the question of the week.

Each week has the same rhythm. Before class (60 to 90 minutes): the textbook pages for the week, one current article posted on Moodle from the *Financial Times* or *The Economist*, and a five-question warm-up quiz on the course site with instant feedback (not graded; it tells the instructor where to spend time). In class: the three moves above. After class: a short problem set with worked answers, the group project step for that week, and office hours.

Other elements: a course-related trip to the Bank of England Museum (week 3); a self-guided walk through the City with questions to answer; a student "FX in the news" rota so that every student briefs the room once during the term; a group research paper with two dated status updates; a mock midterm and a practice final with answers. Where a guest speaker from a London institution can be arranged, the session is scheduled in week 11 or 12 and the news briefing that week becomes the questions to the guest.

Why the interaction is not decoration. Across 225 studies, students in lecture-only courses were about 1.5 times more likely to fail than students in courses with active learning, and exam scores were 6 per cent higher with active learning (Freeman et al., 2014). Students in active classes also report that they feel they learn less even as they learn more (Deslauriers et al., 2019), so the reasoning behind the format is explained to the class in week 1.

Required work and form of assessment

Component	Weight	Format	When
Midterm test	**20%**	Two hours, closed book, non-programmable calculator permitted. Quantitative problems and short cases drawn from weeks 1 to 6: quotations, parity, a hedging decision. A mock midterm with answers is released in week 5.	Week 6

Component	Weight	Format	When
Class participation	**10%**	One five-minute "FX in the news" briefing per student on a current article of their choice (5 marks, rubric on Moodle), plus engagement in the in-class activities and discussions across the term (5 marks). Attendance alone does not earn participation marks.	Throughout
Group research paper	**40%**	3,500 words (plus or minus 10 per cent, excluding bibliography and appendices) in groups of three or four. One theory from the course, one real international financial event (recent or historical), and the analysis of how well the evidence fits the theory. Two status updates in office hours (weeks 5 and 8) with written feedback within a week.	Due in the last class of week 13
Final examination	**30%**	Two and a half hours, closed book, cumulative, weighted toward weeks 8 to 13. Quantitative problems and cases. Date set by IES Abroad London.	Week 14 (examination week)

Research paper guidelines

Choose the theory first and the event second. A menu of twelve topics opens in week 3, each with a one-page template, two example events and the chapter it rests on; groups may propose their own topic with the instructor's approval. Narrow the topic to one aspect of the theory rather than a survey. Find data (central bank statistics, *The Economist*'s Big Mac index, company filings, IMF and BIS publications are all free) and analyse how the evidence fits the theory: does it, why or why not, and what follows. The analysis carries the most weight. Example topics: did purchasing power parity hold for the pound after the September 2022 mini-budget; the August 2024 yen carry-trade unwind and what interest rate parity predicted; Argentina's peso and the Big Mac; Apple's currency hedging programme as disclosed in its annual report; why the Bank of England could not defend the pound on Black Wednesday in 1992.

Paper criterion	Marks	What earns them
Theory	**25**	The chosen theory is stated precisely, with its assumptions and what it predicts for the event.
Evidence	**25**	Data are relevant, correctly sourced, clearly presented in tables or charts, and sufficient to test the prediction.
Analysis	**40**	The evidence is set against the theory, the fit and the misfit are explained, alternatives are considered and a conclusion is reached.
Writing and referencing	**10**	Clear structure, plain prose, correct citations, within the word limit; a one-line AI-use disclosure.

Determination of the overall course grade

Marks are weighted as above and converted to a letter grade according to the IES Abroad Academic Policy Guidelines. The Moodle gradebook is updated within a week of each assessment so that students always know where they stand.

Generative AI, academic integrity and accommodations

Generative AI tools may be used for brainstorming, language editing and help with spreadsheet or code syntax, and their use must be disclosed in one line at the end of the paper. The choice of theory, the data work and the analysis must be the group's own; the midterm and final are closed book, so the course grade measures the student. Plagiarism and other breaches are handled under the IES Abroad academic

integrity policy. Students who require accommodations should contact IES Abroad London in the first week so that arrangements are in place before the first assessment.

Attendance policy

The IES Abroad London attendance policy applies. Attendance is mandatory for all classes, including the course-related trip. Each unexcused absence reduces the final grade by one half of a letter grade. Absences are excused only for serious illness (reported to the Centre before class) or a serious illness or death in the immediate family requiring travel (with the Centre Director's written approval). Arriving more than ten minutes late may be counted as an unexcused absence. Absences totalling 25 per cent of class hours lead to contact from the Academic Programmes Manager and the Centre Director and may lead to disciplinary review. Students should be aware that UK immigration rules require the Centre to monitor attendance and that poor attendance can affect a student's permission to remain on the programme. Full details are in the IES Abroad Academic Policy Guidelines and the Centre handbook.

Content

Dates are the week commencing and are aligned to the IES Abroad London Spring 2027 calendar; the position of the mid-semester break and the examination dates are confirmed by the Centre. Readings are chapters of Eun, Resnick and Chuluun (2024), abbreviated ERC. Each week also carries one current article and a warm-up quiz posted on Moodle.

Week	Topic	In class, and the interactive activity	Readings and assignments
Week 1 **18 Jan**	Why international finance, and why London	Globalisation and the multinational firm; what an exchange rate is a price of; the size and geography of the foreign exchange market; how the course and the paper work. **Interactive:** the currency diary opens: what did your $1,000 buy this week? Groups formed; the news-briefing rota agreed.	ERC Ch. 1. BIS (2025) press release on the Triennial Survey. Syllabus quiz on Moodle.
Week 2 **25 Jan**	The international monetary system and the balance of payments	From the gold standard to floating; pegs, boards and currency unions; what the balance of payments records and why deficits need not be bad; the UK and US current accounts. **Case:** Black Wednesday, 16 September 1992. **Simulation:** defend the peg with reserves and interest rates, and watch them run out.	ERC Ch. 2 and 3. IMF Annual Report on Exchange Arrangements (latest edition, country table for the UK and the US).
Week 3 **1 Feb**	The foreign exchange market: quotations, spot, forward and cross rates	Who trades and where; dealers, bid and ask; direct and indirect quotes; cross rates and triangular arbitrage; forward quotes and the forward premium. **Interactive:** triangular arbitrage hunt with live quotes. **Course-related trip:** Bank of England Museum. The paper topic menu opens.	ERC Ch. 5. Bank of England (2025) summary of UK results. TRIP.
Week 4 **8 Feb**	Parity: purchasing power, interest rates and the Fisher effects; forecasting	The law of one price and purchasing power parity; interest rate parity and covered interest arbitrage; the Fisher effects; why parity fails in the short run and works in the long run; forecasting approaches. **Interactive:** the Big Mac calculator (guess the London price, move the rate, read the verdict); covered interest arbitrage with today's rates.	ERC Ch. 6. The Economist, Big Mac index (latest edition). Rogoff (1996), sections 1 and 2. Problem set 1.

Week	Topic	In class, and the interactive activity	Readings and assignments
Week 5 **15 Feb**	Currency futures and options; the carry trade	Futures versus forwards; option payoffs and premiums; hedging and speculating with options; the carry trade and its unwinds. **Interactive:** option payoff builder. **Project status update one** (the question and the theory) in office hours. Mock midterm released.	ERC Ch. 7. Problem set 2. UPDATE 1.
Week 6 **22 Feb**	Managing exposure: transaction, economic and translation; hedge or not	Measuring exposure; forward, money market and option hedges with their costs; economic exposure and operating strategy; translation methods in brief. **Interactive:** hedge-or-not game with a real invoice. **Midterm test** (20 per cent).	ERC Ch. 8 and 9; Ch. 10 sections 1 to 3. MIDTERM.
Week 7 **1 Mar**	Mid-semester break	No class (week confirmed by the IES Abroad London calendar). Groups use the week to collect data.	No reading.
Week 8 **8 Mar**	International banking and money markets	Global banks and their balance sheets; the Eurocurrency market; reference rates after LIBOR: SOFR and SONIA; interest rate and currency swaps in outline; capital regulation. **Interactive:** build a bank's balance sheet and stress it. **Project status update two** (the data and a first chart).	ERC Ch. 11; Ch. 14 sections 1 to 3. UPDATE 2.
Week 9 **15 Mar**	International bond and equity markets; international portfolio investment	Eurobonds and foreign bonds; cross-listing and depositary receipts; market structure; the gains from international diversification; home bias; the currency component of returns. **Interactive:** diversification simulation: move the correlation, watch the risk fall, then add the currency.	ERC Ch. 12, 13 and 15. Problem set 3.
Week 10 **22 Mar**	Foreign direct investment, cost of capital and capital budgeting for the multinational	Why firms invest abroad; cross-border acquisitions; the international cost of capital; adjusted present value and capital budgeting in two currencies; country and political risk. **Interactive:** two-currency project appraisal: the same project, two answers, one decision.	ERC Ch. 16, 17 and 18. Problem set 4.
Week 11 **29 Mar**	Cash management, trade finance, tax and transfer pricing	Netting and centralised cash management; letters of credit and export finance; the international tax environment; transfer pricing and its limits. **Interactive:** the netting puzzle: cut a multinational's payments in half. Guest speaker if arranged.	ERC Ch. 19, 20 and 21.
Week 12 **5 Apr**	Current topics: digital money, sanctions and the dollar, climate and currencies; corporate governance across borders	Central bank digital currencies and stablecoins; the dollar's role and the use of financial sanctions; climate risk in currency and sovereign markets; governance differences and what they mean for investors. **Student-led:** the news briefings become a structured debate. Paper clinic.	ERC Ch. 4. Bank of England, the digital pound (current page). BIS Annual Economic Report (latest), chapter on the future monetary system. Current articles on Moodle.

Week	Topic	In class, and the interactive activity	Readings and assignments
Week 13 **12 Apr**	Review and integration	The course in one session: from the balance of payments to the multinational's hedge, told through the semester's currency diary. Practice final with answers; examination technique. **Group research paper due** (40 per cent) in the last class of the week.	Revision. PAPER DUE.
Week 14 **19 Apr**	Final examination	Final examination (30 per cent), two and a half hours, cumulative, closed book. Date and room set by IES Abroad London.	FINAL.

Course-related trips

Bank of England Museum, Threadneedle Street (week 3). A visit to the museum of the UK's central bank: the gold vault exhibit, the history of the pound, the inflation target, and the 1992 and 2022 sterling episodes that the course uses as cases in weeks 2 and 6. Admission is free. The visit is part of the course and attendance is required; a short written reflection (not graded) feeds the week 4 discussion.

The City walk (self-guided, weeks 3 to 5). A route from Bank station past the Royal Exchange, the Bank of England and the Lloyd's building with questions to answer about who trades what, where. Students complete it in their own time and bring their answers to the week 5 session.

Optional. Public lectures at the London School of Economics and other London institutions on currencies, central banking and trade are announced on Moodle as they arise; attendance is encouraged and can be used for the news briefing.

Required readings

- Eun, C.S., Resnick, B.G. and Chuluun, T. (2024) *International Financial Management*. 10th edn. New York: McGraw Hill. (Earlier editions, including the 9th, are acceptable; chapter numbers differ slightly and a mapping is posted on Moodle.)
- Weekly current articles from the *Financial Times* and *The Economist*, posted on Moodle under each week; accessible through the IES London EBSCO journal archive or the publications' student subscriptions.

Recommended readings

- Bank for International Settlements (2025) *Triennial Central Bank Survey: OTC foreign exchange turnover in April 2025*. Basel: BIS. Available at: https://www.bis.org/statistics/rpfx25_fx.htm (Accessed: 15 October 2026).
- Deslauriers, L., McCarty, L.S., Miller, K., Callaghan, K. and Kestin, G. (2019) 'Measuring actual learning versus feeling of learning in response to being actively engaged in the classroom', *Proceedings of the National Academy of Sciences*, 116(39), pp. 19251 to 19257.
- Freeman, S., Eddy, S.L., McDonough, M., Smith, M.K., Okoroafor, N., Jordt, H. and Wenderoth, M.P. (2014) 'Active learning increases student performance in science, engineering, and mathematics', *Proceedings of the National Academy of Sciences*, 111(23), pp. 8410 to 8415.
- Froot, K.A. and Thaler, R.H. (1990) 'Anomalies: foreign exchange', *Journal of Economic Perspectives*, 4(3), pp. 179 to 192.
- Krugman, P.R., Obstfeld, M. and Melitz, M.J. (2022) *International Economics: Theory and Policy*. 12th edn, global edition. Harlow: Pearson. (Parts 3 and 4 for the macroeconomic background.)

- Madura, J. and Zipfel, C. (2026) *International Financial Management*. 15th edn. Boston: Cengage. (An alternative textbook with many worked problems.)
- Rogoff, K. (1996) 'The purchasing power parity puzzle', *Journal of Economic Literature*, 34(2), pp. 647 to 668.
- Shapiro, A.C. and Hanouna, P. (2019) *Multinational Financial Management*. 11th edn. Hoboken: Wiley. (Chapters on the multinational firm's financial management.)
- The Economist (ongoing) *The Big Mac index*. London: The Economist. Available at: https://www.economist.com/big-mac-index (Accessed: 15 October 2026).

Additional requirements

- **Moodle.** Weekly readings, warm-up quizzes, problem sets with answers, rubrics, the paper templates and the gradebook. The weekly schedule may be adjusted to follow events; changes are announced on Moodle and in class.
- **EBSCO.** Students have access to the EBSCO online journal archive; log-in details are provided by the IES London Academic Programmes Manager.
- **Devices.** A laptop, tablet or phone in class for the simulations and warm-ups (any browser; nothing to install). A non-programmable scientific calculator for the midterm and final.
- **Course site.** The interactive simulations, quizzes and practice material are on the open course site linked from Moodle; they run locally in the browser and need no account.

References for this syllabus

- Bank for International Settlements (2025) *Global FX trading hits $9.6 trillion a day in April 2025 and OTC interest rate derivatives surge 59%*. Press release, 30 September. Basel: BIS. Available at: https://www.bis.org/press/p250930.htm (Accessed: 15 October 2026).
- Bank of England (2025) *BIS Triennial Survey of foreign exchange and over-the-counter interest rate derivatives markets in April 2025: summary of UK results*. London: Bank of England. Available at: https://www.bankofengland.co.uk/-/media/boe/files/statistics/bis-survey/2025/summary-of-uk-survey-results-2025.pdf (Accessed: 15 October 2026).
- IES Abroad (2026) *FI 355 International Finance: course description*. Chicago: IES Abroad. Available at: https://iesabroad.org/programs/courses/fi-355-international-finance-0 (Accessed: 15 October 2026).